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IN FOCUS

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The Office of Navajo and Hopi Indian Relocation

The federal government divided up tribal lands in the Southwest during the 19th and 20th centuries, triggering long-standing land disputes between the Navajo Nation and the Hopi Tribe (both federally recognized Tribes). In 1868, the United States entered into a treaty with the Navajo Nation that, among other things, established the Tribe's 3.5 million acre reservation, initially in northern Arizona and New Mexico. In 1882, an executive order set aside about 2.5 million acres in Arizona for the Hopi Tribe. In 1934, Congress expanded the Navajo reservation so that it surrounded the Hopi reservation (P.L. 73-352). These federal actions led to some citizens of each Tribe living on, or using, land arguably set aside for the other Tribe. Both the 1882 executive order and the 1934 act allowed "other Indians" besides those belonging to the designated Tribe to reside on the specified lands; however, the Tribes have since disputed ownership and occupancy. This In Focus provides an overview of federal actions to address these tribal land disputes, including the Office of Navajo and Hopi Indian Relocation, and potential issues for Congress.

Overview of Federal Actions to Address the Hopi/Navajo Tribal Land Disputes

The federal government attempted to settle these tribal land disputes throughout the 20th century. In 1958, Congress authorized the Tribes to file lawsuits to settle ownership (*quiet title*) to the 1882 reservation (P.L. 85-547). In 1962, a federal district court in Arizona ruled that (1) the Hopi had exclusive rights to about 631,000 acres of the 1882 reservation (*District Six*) and (2) the Tribes had "joint, undivided, and equal interests" to about 1.9 million acres of the rest of the reservation—the *Joint Use Area* (JUA) (Healing v. Jones, 210 F.Supp. 125, D.Ariz. 1962).

In 1966, the Hopi Tribe filed a lawsuit claiming about 1.5 million acres of Navajo lands within the 1934 reservation. That year, the Commissioner of Indian Affairs at the Department of the Interior (DOI), Robert Bennett, restricted construction on those disputed lands until the conflict was resolved (absent approval from both Tribes). This *Bennett Freeze* was intended to stop either Tribe from taking advantage of the other while the dispute was being settled.

Despite these developments, litigation continued over both the 1882 and the 1934 reservations, leading Congress to enact the Navajo-Hopi Settlement Act of 1974 (Settlement Act, P.L. 93-531). The act authorized the Tribes to settle the 1882 reservation dispute using a federal mediator. The negotiation was unsuccessful, and in 1977, a court ordered the partition of the JUA into two equal land areas—Hopi Partitioned Lands (HPL) and Navajo Partitioned Lands (NPL). The act also authorized either Tribe to initiate or defend a court action on land claims related to the 1934 reservation.

The Office of Navajo and Hopi Indian Relocation

The Settlement Act also established the Navajo and Hopi Indian Relocation Commission to relocate tribal households on the newly partitioned lands stemming from the resolution of the 1882 reservation dispute. In 1988, the commission was restructured and renamed the Office of Navajo and Hopi Indian Relocation (ONHIR) (P.L. 100-666). ONHIR's mission is to relocate Navajo and Hopi tribal households and to provide related benefits and assistance. The Settlement Act also required relocation sites to include "housing and related community facilities and services, such as water, sewers, roads, schools, and health facilities." Navajo and Hopi households must apply to ONHIR and demonstrate that they meet certain criteria to become certified for relocation benefits. If denied, applicants may appeal.

ONHIR's relocation process was originally scheduled to end in July 1986 but has been delayed for various reasons. Some Navajo households refused to relocate during the first application period, which eventually led to a negotiated settlement agreement between the Tribes (ratified by P.L. 104-301). Under that agreement, the Hopi Tribe was authorized to acquire additional lands and the Hopi Tribe agreed to allow Navajo residents to remain on HPL under 75-year leases. Those residents who did not obtain leases could apply to relocate during ONHIR's second round of applications (1997-2000). ONHIR opened a third round of applications in 2005 to provide another opportunity for relocation. In 2008, ONHIR opened up a fourth round in response to a federal court decision. As of December 2017, ONHIR had relocated more than 3,600 Navajo and Hopi families, consisting of about 16,700 individuals (see this 2018 Government Accountability Office [GAO] report).

The Settlement Act, as amended, authorized the federal government to take 400,000 acres into trust for the Navajo Nation to relocate (P.L. 96-305). According to a 2023 DOI Office of Inspector General (OIG) report, 387,000 acres have been acquired pursuant to the act, including 352,000 acres of land in Arizona that ONHIR refers to as the *New Lands*. On the New Lands, ONHIR issues leases and rights-of-way for housing and related facilities and manages the Padres Mesa Demonstration Ranch (P.L. 99-190). The ranch was established to teach sustainable cattle ranching and livestock marketing to the Navajo relocatees.

Potential Issues for Congress

Funding for ONHIR

Congress may continue to consider whether, and if so how much, funding is necessary for ONHIR or a successor agency to complete its mission. Funding for ONHIR generally has been provided in annual appropriations laws for DOI. These laws typically have funded relocation benefits and office operations. Annual appropriations over roughly the past five fiscal years have fluctuated. In FY2022-FY2024, Congress made available funding from unobligated (carryover) balances but provided no new funding. For FY2025, Congress provided $1.7 million for ONHIR, and for FY2026, no funding. The Bureau of Indian Affairs (BIA) also receives annual appropriations that have been used to support the Tribes (i.e., BIA's Navajo-Hopi Settlement Program), which helps manage agriculture and rangeland on HPL and NPL.

In addition to annual appropriations, the 1988 amendments to the Settlement Act established the Navajo Rehabilitation Trust Fund in the U.S. Treasury. The trust fund consists of appropriations and income derived from leases of Navajo Nation lands and minerals. According to a 2023 DOI OIG report, Congress authorized up to $60 million for the fund over a six-year period; as of 2023, $16 million had been appropriated. The 1988 amendments required the Navajo Nation to repay the federal government for any appropriations, but the Tribe has asked Congress to eliminate that requirement.

Future Role of ONHIR

Whether and how ONHIR might cease operations is another issue. In September 2025, ONHIR and DOI signed a memorandum of understanding that, among other provisions, transferred the functions and responsibilities of ONHIR to the Office of the Secretary. The MOU further stated, "ONHIR anticipates that it shall cease to exist as of September 30, 2026." However, the Settlement Act states that ONHIR "shall cease to exist when the President determines that its functions have been fully discharged" and ONHIR has not publicly stated whether it has asked for a presidential determination around closure.

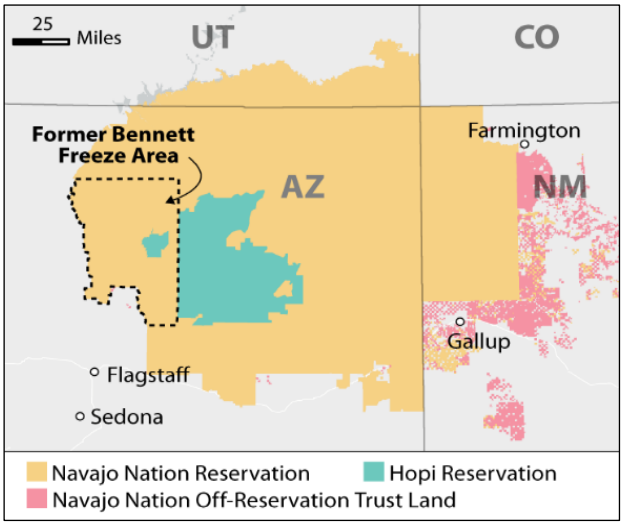
Although a presidential determination has not been made, Congress has nevertheless expressed interest in closing ONHIR. For example, the explanatory statement accompanying P.L. 119-74, Division C, the Department of the Interior, Environment, and Related Agencies Appropriations Act, 2026, stated that Congress remained "committed to the orderly and timely closure" of ONHIR. To that end, Congress did not fund ONHIR but instead provided $7.0 million to DOI's Office of the Secretary to work with stakeholders and the Department of Justice to address "all outstanding administrative duties, fiduciary responsibilities, land management and livestock obligations of ONHIR that are necessary to support its final closure." The Continuing Appropriations and Extensions Act, 2027 (P.L. 119-103, Division A, Section 140) allows funding provided to DOI's Office of the Secretary to be available to assume the functions performed by ONHIR.

The two Tribes have different views on next steps for ONHIR. In the past, the Hopi Tribe has supported the completion of relocation activities and ONHIR's subsequent closure. On the other hand, the Navajo Nation has generally opposed closure. Nevertheless, the Navajo Nation acknowledged the 2025 MOU transferring ONHIR's responsibilities to DOI (BIA). The Navajo Nation emphasized that BIA is now responsible for various issues, including resolving the remaining relocation cases; addressing ongoing housing construction and infrastructure repairs; land and range management; and continued Navajo land selections estimated at approximately 13,000 acres.

The Bennett Freeze and Economic Development

Since 1966, BIA modified the Bennett Freeze several times, and Congress eventually codified it in 1980 (P.L. 96-305). Court actions in the 1990s lifted, and then reinstated, the freeze. In 2006, the Tribes entered into an intergovernmental compact that lifted the freeze. In 2009, Congress repealed the freeze (P.L. 111-18). (See **Figure 1**.)

Figure 1. Navajo Nation's and Hopi Tribe's Lands
(includes the former Bennett Freeze area)



Source: CRS based on U.S. Census Bureau, Bureau of Indian Affairs, and Government Accountability Office documents.

Although the Bennett Freeze was formally repealed in 2009, concerns remain about its ongoing impacts. In 2022, the Navajo Nation reported that 24% of the area's houses are habitable, with almost 60% lacking electricity and most lacking potable water. Congress has considered legislation to support economic development in the former Bennett Freeze area; for example, H.R. 6141 from the 117th Congress proposed establishing a Former Bennett Freeze Area Rehabilitation Trust Fund. That bill and others have proposed creating Navajo Sovereignty Empowerment Zones, where certain laws, such as the National Environmental Policy Act, would be waived to promote economic development.

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